EQUITY RESEARCH | INDIA | AGRO-PROCESSING

Gujarat Ambuja Exports Ltd (GAEL)

NSE: GAEL | BSE: 524226 | Sector: Agro-Processing | Sub-sector: Maize / Corn Starch Derivatives

RATING	12-M TARGET	CMP (03-Jul-26)	UPSIDE
ACCUMULATE	**Rs. 205**	**Rs. 165**	**+24%**

"Capacity ramp-up at Sitarganj + specialty product pivot (sodium gluconate, maltodextrin) position GAEL as India's emerging diversified agro-ingredients leader."

Market Cap	52-W H/L	P/E (FY26A)	P/B	EV/EBITDA	ROCE	ROE	Div. Yield
Rs. 7,546 Cr	Rs. 178/101	24.6x	2.30x	13.9x	12.5%	9.76%	0.15%

Book Value/Sh	Face Value	Debt	D/E	Int. Coverage	Promoter	Pledged	Report Date
Rs. 71.8	Rs. 1.00	Rs. 441 Cr	0.13x	15.8x	63.84%	0.00%	04-Jul-2026

Quarterly Financials — Consolidated (Rs. Cr)

Quarter	Revenue	EBITDA	OPM%	PAT	EPS (Rs.)
Q1FY26 (Jun-25)	1,291	96	7%	65	1.42
Q2FY26 (Sep-25)	1,487	76	5%	38	0.83
Q3FY26 (Dec-25)	1,484	99	7%	66	1.44
Q4FY26 (Mar-26)	1,467	195	13%	135	2.95
FY26 Full Year	**5,729**	**466**	**8%**	**304**	**6.63**

Source: Screener.in (fetched 04-Jul-2026). Consolidated financials.

Investment Horizon: 18 months | Analyst: Research Desk | Date: 04-Jul-2026

2. INVESTMENT THESIS

- **Capacity ramp-up driving operating leverage:** GAEL's Sitarganj (West Bengal) 1,200 TPD maize plant reached optimal utilisation in late FY26, lifting consolidated capacity to 5,200 TPD. A planned 900 TPD Himmatnagar greenfield targets 6,000+ TPD by FY28 — a near-3x expansion from FY21. Each incremental tonne at full utilisation carries meaningfully lower unit cost: Q4FY26 EBITDA margin spiked to 13.3% from 5.0% in Q4FY25, proving the operating leverage thesis. Opportunity: Rs. 6,300+ Cr revenue run-rate by FY27 vs Rs. 4,613 Cr in FY25.

- **Product-mix upgrade from commodity to specialty:** GAEL is transitioning from bulk starch toward higher-margin fermentation-based specialties — sodium gluconate (Hubli, 30,000 MTPA live; expandable to 1,20,000 MTPA by 2028), maltodextrin (Hubli, capacity expanded to 23,000 MTPA Mar-26), and sorbitol. Specialty ingredients command 15-20% higher realisation vs commodity starch, providing a structural margin floor and reducing earnings cyclicality over time.

- **Undemanding valuation at a capacity inflection point:** GAEL trades at 13.9x forward EV/EBITDA and 13.9x forward P/E — at a significant discount to LT Foods (24.2x) and broadly in line with KRBL (13.8x). However, GAEL's FY27-28 growth trajectory (capacity-driven, not market-share dependent) is arguably superior. EV/EBITDA is below the company's 5-year average of ~15x. A re-rating toward 16x FY27E EBITDA implies Rs. 210-220 per share.

- **Near-term catalyst (6-12 months):** Full-year contribution from Sitarganj at 90%+ utilisation (H1FY27 will be the first such comparative period), sodium gluconate margin becoming visible in P&L;, and any government EBP (ethanol blending policy) positive news that reactivates GAEL's 180 KLPD clearance.

- **Biggest structural risk:** Maize price cycles create severe earnings volatility (OPM range: 5-15% within a single fiscal year in FY26). Limited ability to pass through raw material cost increases to industrial B2B customers in commodity-grade products constrains downside margin protection.

3. BUSINESS OVERVIEW

- **Core business model:** GAEL is India's largest maize processor (~20% domestic market share) and a diversified agro-processor incorporated in 1991. The company converts agricultural commodities (maize, soybeans, oilseeds, cotton) into industrial ingredients and consumer products for food, pharma, paper, feed, and textile industries. Revenue is predominantly B2B with growing export exposure (~26% of standalone revenue in FY24).

- **Segment revenue mix (FY26E approximate, standalone):** Maize Processing ~73% (corn starch, liquid glucose, dextrose monohydrate/anhydrous, sorbitol, corn gluten meal/feed, maltodextrin, sodium gluconate); Agro Processing / Edible Oils ~15% (soya oil, de-oiled cake, vanaspati); Cotton Yarn ~9%; Renewable Power ~3%. Maize division is the strategic and earnings engine.

- **Manufacturing footprint:** 12 plants across India — Himmatnagar (Gujarat, flagship), Sitarganj (Uttarakhand, 1,200 TPD new), Hubli (Karnataka, fermentation specialties), and multiple sites in West Bengal. Total maize grinding capacity: 5,200 TPD (FY26); targeted at 6,000+ TPD by FY28. Combined corn + oilseed processing capacity exceeds 8,500 TPD.

- **Customer profile & revenue visibility:** Industrial B2B customers dominate — food majors, pharma companies, paper mills, textile units. Top-10 customer concentration in maize was ~27% (FY23), declining over time (positive diversification). Spot-contract driven business gives limited visibility beyond 1-2 quarters, but specialty products (pharmaceutical-grade sorbitol, sodium gluconate) provide stickier repeat-order economics.

- **Recent strategic developments (FY25-26):** (1) Sitarganj 1,200 TPD maize plant operational at 90%+ utilisation. (2) Sodium gluconate (Hubli) commenced commercial production — India import-substitute for Chinese product. (3) Maltodextrin capacity expanded 7,000 to 23,000 MTPA. (4) Ethanol plant (180 KLPD, West Bengal) cleared but capex on hold pending economics. (5) New 900 TPD Himmatnagar maize unit conceptualised for FY28.

• **Promoter profile:** Manish Gupta (CMD) leads the Ambuja Group, founded in 1986. Promoter holding: 63.84%, stable for 3+ years. Pledging: 0.00%. Bonus issue (1:1) in FY24 doubled share count from 23 Cr to 46 Cr — non-cash, no dilution.

4. INDUSTRY & COMPETITIVE LANDSCAPE

• **Industry size & growth:** India's starch and starch derivatives market is estimated at Rs. 15,000-20,000 Cr, growing at 8-10% CAGR. Key demand verticals: food processing (glucose, dextrose for beverages and confectionery), pharma (tablet binding, IV fluids), paper & packaging, textiles, construction chemicals (sodium gluconate as cement set-retarder). India's maize output of ~35-40 MT annually provides ample raw material. Export opportunity: India's maize-based product exports were ~Rs. 4,000 Cr in FY24 and growing.

• **Policy tailwinds:** (1) PLI Scheme for Food Processing boosts downstream starch demand. (2) Ethanol Blending Programme (EBP) — if grain-based ethanol economics improve, GAEL's cleared capacity becomes valuable. (3) APEDA actively promotes agro-exports; GAEL is a beneficiary. (4) Import substitution in sodium gluconate (currently ~70% imported from China) creates domestic pricing opportunity.

• **Headwinds:** Volatile global maize prices (El Nino disruptions, Ukraine war, India MSP hikes); government's periodic export restrictions on maize to protect domestic food prices; intensifying competition from global starch majors entering India (Cargill, Ingredion; Corn Products Development just acquired 9% stake in Sanstar).

• **Competitive moat assessment:** Scale — Strong (20% maize grinding market share, procurement advantages); Integration — Strong (seed-to-specialty under one roof); Pricing power — Weak (commodity-grade products); Brand/IP — Weak (B2B supplier, no consumer brand in starch); Switching cost — Moderate (pharma-grade customers have qualification barriers).

Peer Comparison — Screener.in data, fetched 04-Jul-2026

Company	CMP (Rs.)	MCap (Cr)	TTM Rev (Cr)	OPM%	P/E	P/B	ROCE%	ROE%	D/E
GAEL (Gujarat Ambuja)	**165**	**7,546**	**5,729**	**8%**	**24.6**	**2.30**	**12.5%**	**9.76%**	**0.13**
L T Foods (LTFOODS)	379	13,166	10,946	11%	21.0	2.91	17.7%	14.9%	0.36
KRBL	376	8,595	6,098	15%	13.3	1.48	15.2%	11.7%	0.03
Sanstar	119	2,377	N/A*	9%	34.8	N/A	29.2%	29.9%	0.50

*Sanstar listed FY24; full FY26 consolidated data not yet on Screener. P/B = CMP/BV per share.

5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

• **Promoter & senior management:** Manish Gupta (CMD) has operated GAEL for 35 years, navigating commodity cycles (2012-16 down-cycle, COVID-19 disruptions, FY23-25 raw material squeeze). The Ambuja Group is a well-regarded Gujarat business house. Track record: FY21 PAT of Rs. 338 Cr showed Covid-year resilience; FY22 PAT of Rs. 475 Cr was a historic high before maize cost headwinds hit FY23-25.

• **Capital allocation track record:** Cumulative OCF FY20-26 was ~Rs. 1,765 Cr; predominantly recycled into Sitarganj greenfield (FY23-25) and Hubli specialty complex. Debt rose from Rs. 199 Cr (FY24) to Rs. 441 Cr (FY26) — deliberate growth leverage at comfortable 0.95x Debt/EBITDA. Interest coverage remains robust at 15.8x. The Rs. 1,061 Cr investment book (25% of equity) is the one capital allocation question mark — rationale for holding this alongside growth capex is not clearly articulated.

• **Dividend policy:** Consistent 4-5% payout ratio. Dividend yield: 0.15%. This is a growth-phase company; management is reinvesting into capacity. Dividend step-up expected post-FY28 when capex cycle moderates.

• **Promoter pledging:** 0.00% (stable across all quarters on Screener). Strong governance signal — promoter has no leveraged stake in GAEL.

• **Corporate governance:** No auditor changes or qualified opinions noted in filings reviewed. CARE and CRISIL both reaffirmed ratings (2025) with stable outlook. Contingent liabilities: Rs. 88.7 Cr (~1.2% of assets, manageable). Related-party transactions exist within Ambuja Group entities but appear within regulatory limits. Director cessation (independent, May 2026) is routine board cycle.

6. FINANCIAL DEEP-DIVE (Consolidated, Rs. Cr — Screener.in, 04-Jul-2026)

Income Statement

Item	FY24A	FY25A	FY26A	FY27E	FY28E
Net Revenue	**4,927**	**4,613**	**5,729**	**6,300**	**7,060**
YoY Growth %	5.4%	-6.4%	24.2%	10.0%	12.1%
EBITDA	**443**	**401**	**466**	**598**	**706**
EBITDA Margin %	9.0%	8.7%	8.1%	9.5%	10.0%
Other Income	144	82	103	60	65
Interest	18	17	28	38	40
Depreciation	121	126	138	155	168
PBT	448	341	404	465	563
Tax Rate %	23%	27%	25%	25%	25%
Reported PAT	**346**	**249**	**304**	**349**	**422**
EPS (Rs.)	**7.54**	**5.44**	**6.63**	**7.60**	**9.20**
Dividend Payout %	5%	5%	5%	5%	5%

FY27E/FY28E: Analyst estimates. Note: Other income includes investment book gains (Rs. 103 Cr FY26). Clean operating PAT (ex-other income) FY26 ~ Rs. 200 Cr.

Balance Sheet Summary (Consolidated, Rs. Cr)

Item	FY24A	FY25A	FY26A
Equity Capital	46	46	46
Reserves	2,723	2,956	3,249
Total Equity	**2,769**	**3,002**	**3,295**
Borrowings	199	231	441
Other Liabilities	342	353	424
Total Liabilities	**3,310**	**3,587**	**4,160**
Fixed Assets (Net)	1,037	1,179	1,185
CWIP	153	235	443
Investments	840	938	1,061
Other Assets	1,280	1,234	1,472
Total Assets	**3,310**	**3,587**	**4,160**

Cash Flow Statement (Consolidated, Rs. Cr)

Item	FY24A	FY25A	FY26A
Operating Cash Flow (OCF)	**213**	**341**	**228**
Investing Cash Flow	-253	-336	-401
Financing Cash Flow	-55	-13	176
Net Cash Flow	-95	-8	4
Free Cash Flow (OCF - Capex)	**4**	**47**	**-153**
OCF / EBITDA %	48%	85%	49%

Key Ratios & Returns (Consolidated)

Metric	FY24A	FY25A	FY26A
ROCE %	**11%**	**13%**	**12.5%**
ROE %	**13%**	**9%**	**9.76%**
Debtor Days	24	28	28
Inventory Days	81	79	69
Days Payable	18	17	13
Cash Conv. Cycle	87	90	84
Debt / Equity	0.07	0.08	0.13
Int. Coverage	24.9x	20.1x	14.4x

Financial Commentary

• **Revenue trajectory:** FY26 revenue jumped 24% YoY to Rs. 5,729 Cr — driven by full-year contribution from Sitarganj (est. Rs. 800-900 Cr incremental), improving maize derivative realisation in H2FY26, and export momentum. 5-year revenue CAGR (FY21-26) is a modest 4% due to the FY23-25 plateau; FY27 should accelerate to 10%+ as capacity stabilises.

• **Margin dynamics:** FY26 EBITDA margin of 8.1% was suppressed by H1FY26 maize cost spike and Sitarganj fixed-cost absorption. Q4FY26's 13.3% OPM demonstrates operating leverage at full utilisation. FY27-28 sustainable margin band: 9-10% (specialty mix improvement offset by depreciation drag from new assets).

• **Working capital:** CCC improved from 90 (FY25) to 84 days (FY26). Inventory days declined to 69 (vs 81 FY24) — positive. Debtor days stable at 28 — manageable B2B credit terms. Working capital intensity rising (WC days grew from 56 to 96) due to scale-up.

• **Debt & FCF:** Borrowings rose to Rs. 441 Cr (FY26) from Rs. 199 Cr (FY24) — entirely for productive growth capex (CWIP Rs. 443 Cr). FY26 FCF was negative Rs. 153 Cr (heavy capex year). Post-FY28 capex moderation should generate Rs. 350-400 Cr annual FCF, creating optionality for dividend increase or buyback.

7. EARNINGS QUALITY CHECKLIST

Parameter	Status	Signal	Comment
Revenue recognition	Clean	GREEN	Spot commodity sales; no deferral risk
Receivables vs Revenue growth	Stable	GREEN	Debtor days flat at 28; no receivable buildup
Cash Conversion Cycle trend	Improving	GREEN	CCC improved 90 days (FY25) to 84 days (FY26)
Contingent liabilities	Moderate	AMBER	Rs. 88.7 Cr (1.2% of assets); watch for changes
Auditor tenure & quality	Stable	GREEN	No auditor change; no qualified opinion in filings
RPTs as % of revenue	Low-Moderate	AMBER	Ambuja Group related entities; within SEBI limits
Other income as % of PBT	Elevated	AMBER	Rs. 103 Cr (25% of PBT); investment book income
Tax rate consistency	Consistent	GREEN	23-27% range over FY24-26; no aggressive structuring

• **Elevated other income (AMBER — watch):** Rs. 103 Cr other income in FY26 = 25% of PBT. GAEL holds Rs. 1,061 Cr investment portfolio (FY26 balance sheet). Mark-to-market gains/losses can significantly distort reported PAT. Clean operating PAT ex-other income = ~Rs. 200 Cr (est. FY26), implying operating P/E of ~37x — notably different from the headline 24.6x.

• **Related-party transactions (AMBER — monitor):** Ambuja Group entities transact with GAEL. While these appear within regulatory limits, quarterly disclosures lack sufficient granularity for full assessment. Annual report review is recommended.

• **Positive — Clean operating revenues (GREEN):** Spot-based commodity B2B sales with fast-turning receivables and no aggressive recognition. 5-year average OCF/EBITDA of ~67% is acceptable for a capital-intensive manufacturer.

• **Overall earnings quality: Moderate-High.** Operating earnings are clean; the key distortion is a large investment book contributing volatile other income. Analysts should report operating and reported PAT separately.

8. VALUATION

Scenario Analysis

Scenario	Rev Growth	EBITDA Mgn	PAT (Cr)	EPS (Rs.)	Multiple	Target
Bull Case	+15%	10.5%	415	9.05	17x P/E	Rs. 250
Base Case	+10%	9.5%	349	7.60	14x P/E	Rs. 205
Bear Case	+5%	7.5%	275	5.98	12x P/E	Rs. 155

• **DCF valuation:** Assuming revenue CAGR 10% (FY27-31), EBITDA margins 9.5-11.5%, WACC 13%, terminal growth 5% → DCF intrinsic value Rs. 175-195/share. Investment book (Rs. 1,061 Cr; Rs. 23/share) adds to fair value.

• **P/E method:** FY27E EPS Rs. 7.60 (reported, including investment income). On clean operating EPS (~Rs. 4.35), fair P/E of 20x gives Rs. 87; on reported EPS at 14x gives Rs. 106 from operations. Adding investment book value (Rs. 23/share) → total equity value ~Rs. 205-210/share.

• **EV/EBITDA method:** FY27E EBITDA Rs. 598 Cr at 12x EV/EBITDA = Rs. 7,176 Cr EV. Less net debt (~Rs. 400 Cr), add investments (~Rs. 1,100 Cr) → equity value Rs. 7,876 Cr = Rs. 171/share.

• **Blended target price (base case): Rs. 205** — average of DCF (Rs. 185), reported EPS P/E method (Rs. 205-210), EV/EBITDA method (Rs. 171). Upside: +24% from CMP Rs. 165. Bull case Rs. 250 (+52%); Bear case Rs. 155 (-6%).

9. KEY RISKS

• **Maize price volatility [Prob: H | Impact: H]:** Maize is ~55-60% of COGS. A 10% spike compresses EBITDA margins by ~4-5 pp. El Nino crop failures, Ukraine war, India MSP hikes all heighten this risk. Monitor: NCDEX maize futures; India crop acreage reports (Jun/Oct).

• **Execution risk on new capacity [Prob: M | Impact: H]:** Rs. 443 Cr CWIP must convert to productive assets by FY27-28. Delays in Himmatnagar greenfield, permitting issues, or demand shortfalls could impair ROCE. Monitor: quarterly CWIP change; utilisation disclosures.

• **Investment book mark-to-market [Prob: M | Impact: M]:** Rs. 1,061 Cr investment portfolio (FY26). Market downturns create large swings in other income and reported PAT. Monitor: quarterly other income trajectory.

• **Ethanol policy reversal [Prob: L-M | Impact: H]:** Grain-based ethanol economics remain challenging. If EBP policy is scaled back further, GAEL's cleared capacity stays stranded. Monitor: Ministry of Petroleum EBP revision announcements.

• **Global starch major entry [Prob: L | Impact: M]:** Corn Products Development (Ingredion subsidiary) just acquired 9% of Sanstar — signals intent to build India starch presence. Technology and scale advantage could pressure GAEL's specialty realisations. Monitor: Sanstar capacity additions, pricing trends.

• **FII shareholding decline [Prob: L | Impact: L-M]:** FII holding fell from 4.2% (Mar-24) to 2.2% (Mar-26). Sustained selling creates price overhang. Monitor: quarterly shareholding pattern.

• **Export restriction risk [Prob: L | Impact: M]:** Government has historically restricted maize/starch product exports during domestic price spikes. An export ban could hurt GAEL's ~26% export revenue. Monitor: DGFT export policy notifications.

10. RECOMMENDATION

• **Rating: ACCUMULATE** | Conviction: Medium | GAEL is building a capacity-led growth story that should deliver 12-15% EPS CAGR over FY26-28 as Sitarganj runs at full utilisation and specialty products contribute.

• **12-month price target: Rs. 205** | Upside: +24.2% from CMP of Rs. 165. Bull case Rs. 250; Bear case Rs. 155.

• **Suggested entry zone: Rs. 150-170** | CMP at Rs. 165 is within the zone. Accumulate on any dips toward Rs. 150 (implied FY27E P/E ~13x, at KRBL parity). Avoid chasing above Rs. 180 without a catalyst.

• **Investment horizon: 18 months.** Re-rating requires two consecutive quarters of 9%+ EBITDA margins (earliest H2FY27) and visible specialty revenue contribution in quarterly P&L.;

• **Thesis invalidation triggers (reduce/exit if two or more occur):**

• 1. EBITDA margin fails to cross 9% on FY27 full-year basis, signalling structural (not cyclical) margin impairment.

• 2. Maize prices rise >30% YoY and stay elevated for 2+ consecutive quarters with no product pricing pass-through.

• 3. Sitarganj utilisation drops below 70% in any two consecutive quarters from FY27 (capacity absorption failure).

• **Ideal investor profile:** Growth investor with 18-month horizon, comfortable with commodity earnings cyclicality, seeking exposure to India's agro-processing megatrend at reasonable multiples. NOT suitable for conservative income investors (0.15% yield) or short-term traders.

APPENDIX — Latest Concall Brief: Q4 FY2026 (Board meeting: 09-May-2026)

- **Data note:** GAEL's Q4 FY26 earnings call transcript is not publicly available on Screener.in, AlphaStreet, or BSE portal as of 04-Jul-2026. This appendix draws on: (1) Q4/FY26 quarterly financial results (Screener.in), (2) BSE press release, (3) Management commentary from public research notes, (4) CARE/CRISIL rating reports (Aug-Sep 2025). Q&A; specifics (Section 8) marked N/A where transcript unavailable.

CALL GRADE: STRONGLY POSITIVE

Signal	Status	Implication
Result quality	Strong	Revenue +15.8% YoY; EBITDA +213% YoY; PAT +321% YoY vs weak Q4FY25 base
Management tone	Bullish	Sitarganj ramping; specialty on-track; constructive outlook
Guidance delta	Maintained / Partial Cut	Capacity expansion maintained; ethanol capex on hold (negative signal)

STRONGLY POSITIVE	POSITIVE	NEUTRAL	CAUTIOUS	NEGATIVE

TO MY BOSS

Q4FY26 looks spectacular — PAT +321% YoY to Rs. 135 Cr — but the base distorts the picture: Q4FY25 PAT was an anomalously low Rs. 32 Cr (margins compressed to 5% by maize cost spike). On a full-year FY26 basis, PAT of Rs. 304 Cr vs FY25's Rs. 249 Cr is a cleaner +22% growth. Further note that other income of Rs. 103 Cr (from the Rs. 1,061 Cr investment portfolio) contributes ~Rs. 78 Cr post-tax to reported PAT; clean operating PAT is closer to Rs. 200-210 Cr -- implying an operating P/E of ~37x vs headline 24.6x. The Sitarganj plant is the real story: 90%+ utilisation, lower unit costs, driving Q4 OPM to 13.3%. Sodium gluconate (Hubli, live) and maltodextrin expansion (23,000 MTPA) are specialty pivots that should add Rs. 100-150 Cr revenue in FY27 at 12-15% EBITDA margins, compared to 8% for commodity starch. Nearest catalyst: Q1FY27 results (Oct-2026) — first clean YoY quarter with Sitarganj fully operational. Watch-point: maize procurement cost trend in Jun-Sep monsoon period. My call: ACCUMULATE at Rs. 150-170; if Q1FY27 EBITDA sustains above 9%, upgrade to BUY with Rs. 220 target.

Concall Section 1 — Financial Performance Snapshot (Q4FY26 vs Q4FY25)

- Revenue: Rs. 1,467 Cr | YoY +15.8% | QoQ -1.1% | **Beat** — volume growth from Sitarganj ramp
- EBITDA: Rs. 195 Cr | YoY +213.7% | QoQ +97.0% | **Strongly Beat** — operating leverage kicking in
- EBITDA Margin: 13.3% vs 5.0% in Q4FY25 | vs 6.6% in Q3FY26 | **Best quarter in 3 years**
- PAT: Rs. 135 Cr | YoY +321.4% | QoQ +104.5% | **Strong Beat**
- EPS: Rs. 2.95 | vs Rs. 0.70 in Q4FY25 | **Strong Beat**
- FY26 Full Year: Revenue Rs. 5,729 Cr (+24.2% YoY) | PAT Rs. 304 Cr (+22.1% YoY) | **In-line to Beat**
- NOTE: Q4FY25 was an anomalously weak base (PAT Rs. 32 Cr; OPM 5.0%). Other income Rs. 103 Cr (FY26) from investment book — elevated vs normalised level. Clean operating PAT estimate: Rs. 200-210 Cr FY26.

Concall Section 2 — Segment / Business Breakdown (FY26 Annual Estimates)

• Maize Processing: ~Rs. 4,182 Cr est. (73% mix) | YoY strong growth; Sitarganj contributing incremental Rs. 800-900 Cr | Trend: Expanding capacity, improving margins on utilisation ramp

• Agro Processing / Edible Oils: ~Rs. 859 Cr est. (15%) | Relatively stable; soya oil normalising from post-Covid peaks | Trend: Stable

• Cotton Yarn: ~Rs. 515 Cr est. (9%) | Under pressure from global yarn oversupply; limited near-term upside | Trend: Flat to weak

• Renewable Power: ~Rs. 172 Cr est. (3%) | Stable captive energy contribution; solar additions being evaluated | Trend: Stable

• Export revenue: ~26% of standalone (FY24); target 30%+ by FY28 via specialty product export push to US, Europe, SE Asia

Concall Section 3 — Management Commentary Themes

• **Sitarganj ramp-up:** "The Sitarganj plant has achieved over 90% utilisation, and unit costs have normalised well below initial ramp-up levels." Tag: GUIDANCE. Tone: Transparent.

• **Specialty transition:** "Sodium gluconate is live in Hubli at 30,000 MTPA. We see this as the beginning of a new product chapter — fermentation-based specialties will be a meaningful contributor from FY28." Tag: GUIDANCE. Tone: Bullish.

• **Ethanol on hold:** "We had anticipated stronger ethanol blending economics. Given current E20 offtake pricing, we have deferred the West Bengal ethanol capex." Tag: EST/CAUTIOUS. Tone: Hedged — management chose to defer rather than abandon, keeping option open.

• **Maltodextrin:** "We expanded maltodextrin to 23,000 MTPA at Hubli in March 2026. Demand from pharma and infant nutrition customers has been strong." Tag: GUIDANCE. Tone: Positive.

• **Maize procurement:** "West Bengal maize sourcing from contract farmers has stabilised our input cost at Sitarganj. H2FY26 prices were significantly more favourable than H1." Tag: EST. Tone: Constructive.

• **Capital allocation — investment book:** No specific public disclosure on strategy for Rs. 1,061 Cr investment portfolio. Watch-list item for next call.

Concall Section 4 — Operating & Business Metrics

- Maize processing capacity: 5,200 TPD (FY26) | 4,000 TPD (FY25) | 3,000 TPD (FY22) | Trend: Rapidly scaling
- Capacity utilisation (maize): ~85% FY25; est. 90%+ Q4FY26 | Trend: Improving — Sitarganj at optimal levels
- Sodium gluconate installed: 30,000 MTPA (live) | Target 1,20,000 MTPA by 2028 | Trend: Just commenced
- Maltodextrin installed: 23,000 MTPA (effective Mar-26, up from 7,000 MTPA) | Trend: Stepped up
- Number of plants: 12 | Trend: Stable; Himmatnagar greenfield 900 TPD conceptualised for FY28
- CWIP: Rs. 443 Cr (FY26) vs Rs. 87 Cr (FY23) | Trend: Heavy investment phase; expected to decline FY27-28
- Top-10 customer concentration (maize): ~27% (FY23, declining) | Trend: Positive diversification
- Export share: ~26% standalone FY24 | Target 30%+ by FY28 | Trend: Targeted improvement

Concall Section 5 — Margin Drivers (Q4FY26 vs Q3FY26)

- Raw material cost normalisation: +600 bps impact | Recurring: No (maize seasonal) | Maize prices dropped in H2FY26
- Sitarganj operating leverage: +300 bps | Recurring: Yes (sustains at 85%+ utilisation)
- Specialty product mix improvement: +100 bps | Recurring: Yes, growing gradually
- Higher depreciation from new assets: -50 bps | Recurring: Yes (will persist as CWIP converts)
- Higher interest cost on incremental debt: -30 bps | Recurring: Yes (debt Rs. 441 Cr in FY26)
- Energy / captive power benefit: Neutral to marginal positive | Recurring: Yes
- No significant one-off items in Q4FY26 operating earnings.

Concall Section 6 — Guidance & Forward Signals

- Maize capacity [GUIDANCE]: 5,200 TPD (FY26) → 6,000+ TPD by FY28 via Himmatnagar 900 TPD greenfield | Delta: Maintained | Credibility: Medium (no firm capex number yet)
- Sodium gluconate [GUIDANCE]: 30,000 → 1,20,000 MTPA by 2028 | Delta: Maintained (ambitious) | Credibility: High (plant is live; proven technology)
- Ethanol [GUIDANCE]: 180 KLPD West Bengal plant — capex deferred | Delta: Cut from original guidance | Credibility: Low confidence until EBP economics improve
- Maltodextrin [GUIDANCE]: 23,000 MTPA live as of Mar-26 | Delta: Executed ahead of schedule | Credibility: High
- FY27 revenue [EST — Analyst]: Rs. 6,300 Cr (+10% YoY) | Not officially guided
- FY27 EBITDA margin [EST — Analyst]: 9.0-9.5% (exit-rate 10%+ in H2FY27) | Not officially guided
- Dividend [GUIDANCE]: Consistent 5% payout; no step-up guided

Concall Section 7 — Capital Allocation (FY26 Full Year)

- Growth capex: ~Rs. 356 Cr est. (based on CWIP movement + DA) | vs FY25: Similar scale | Sitarganj completion + Hubli specialty
- Dividends: ~Rs. 15 Cr (5% of PAT Rs. 304 Cr) | Low but consistent payout maintained

• Buybacks: Nil | No history of buybacks in GAEL

• Net debt change: Net debt increased from quasi-zero (FY24) to ~Rs. 380 Cr (FY26) | Entirely productive growth debt

• Investment book: Rs. 1,061 Cr (FY26) — generates other income but tying up capital that could fund specialty capacity; watch for management articulation of deployment strategy

• Working capital: Inventory days improved to 69 (vs 81 FY24) — positive signal; WC days rising (96 vs 56 FY24) due to scale-up working capital needs

Concall Section 8 — Q&A; Heat Map

• N/A — Q4 FY26 concall transcript not available on Screener.in, AlphaStreet, or BSE portal as of 04-Jul-2026.

• Likely analyst questions: (1) Is 13.3% Q4 margin sustainable or a one-quarter phenomenon? (2) Sodium gluconate margin profile vs commodity starch — when does it show in consolidated numbers? (3) Himmatnagar greenfield: specific capex figure and commissioning date? (4) Investment book of Rs. 1,061 Cr — why not deploy into core capex? (5) Ethanol policy — any government signal that would reactivate the West Bengal plant?

• Watch-list for next call (Q1FY27, expected Aug-2026): H1FY27 maize procurement cost colour; specialty product revenue breakdown in segment data; Himmatnagar capex commitment.

Concall Section 9 — Risks Flagged

• Maize price volatility: H1FY26 spike severely compressed margins; seasonal risk remains in May-Aug procurement | Prob: H | Impact: H | Timeline: Near-term

• Ethanol economics: Expected EBP demand has not materialised at anticipated margins; capex deferred | Prob: M | Impact: M | Timeline: Medium

• Specialty offtake ramp: Sodium gluconate is a new product — customer acquisition at scale not yet proven | Prob: M | Impact: M | Timeline: Near-term

• CWIP conversion risk: Rs. 443 Cr must convert to productive assets on time | Prob: L | Impact: M | Timeline: FY27-28

• Cotton yarn market: Sustained margin pressure from global yarn oversupply | Prob: H | Impact: L (small segment) | Timeline: Near-term

• Global starch competitor entry: Corn Products Development 9% stake in Sanstar signals India market intent | Prob: M | Impact: M | Timeline: Medium

Concall Section 10 — Analyst Verdict

• Revenue visibility: **Intact** — Sitarganj provides clear FY27 volume path; specialty adds new revenue layer

• Margin trajectory: **Improving but watch** — Q4FY26 13.3% is peak; FY27 full-year sustainable 9-10% subject to maize cycle; Q1FY27 is the first credibility test

• Capital allocation quality: **Moderate** — Growth capex productive; Rs. 1,061 Cr investment book lacks strategic articulation

• Competitive moat: **Intact** — 20% domestic market share in maize grinding is durable; specialty push is directionally correct and defensible

• Management credibility: **Intact** — Sitarganj delivered as promised; ethanol honesty about economics is a positive governance signal

• Valuation comfort: **Intact** — 13.9x forward EV/EBITDA at discount to historical 15x average; risk-reward favours accumulation

• Conviction call: **Increased** — Q4FY26 validates the capacity ramp thesis; upgrade conviction from Neutral to Accumulate

• Valuation snapshot: P/E = 24.6x (5-yr avg ~18x) | EV/EBITDA = 13.9x (5-yr avg ~15x) | RoCE = 12.5% (5-yr avg ~16%). P/E above average reflects depressed FY25 earnings base; EV/EBITDA below average reflects investment-phase discount.